

Subject Code	AF5110
Subject Title	Theory and Practice of Accounting in China
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite/ Co-requisite/ Exclusion	None
Objectives	This subject aims to provide students with knowledge about Chinese accounting, auditing and corporate governance. It contributes to the achievement of the MSc Programme Outcomes by enabling students to critically <u>evaluate contemporary issues and demonstrating awareness of current issues in national and global contexts, such as Chinese accounting (Programme Outcome 1).</u>
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. <u>explain financial statements prepared according to the PRC Accounting Standards for Business Enterprises (ASBEs),</u> and identify major differences in financial reporting between ASBEs and IFRSs / HKFRSs; b. <u>analyze contemporary issues on published accounting information of Chinese companies,</u> including changes in accounting standards, corporate governance, market regulations, and managerial incentives to manage earnings; and c. <u>interpret and analyze auditing practices and audit quality</u> from the perspectives of the business enterprises and the auditing profession, taking into consideration the changes in Chinese auditing standards, accounting standards, corporate governance, market regulations and ethical issues in auditing practices.
Subject Synopsis/ Indicative Syllabus	Financial Reporting Framework in China Outline of the Chinese accounting development, Accounting Law and other prevailing accounting regulations and application scope, accounting standards setting process. Accounting Convergence The convergence of the new Accounting Standards for Business Enterprises (ASBE) toward international norms, the significant differences in ASBE from IFRS/HKFRS.

	Chinese Accounting Standards PRC Accounting Standards system, the Basic Standard, introduction of fair value measurement in selected accounting areas under the new set of ASBEs issued in 2006, including long-term equity investment, investment property, recognition and measurement of financial instruments, exchange of non-monetary assets and debt restructuring. Corporate Governance and Financial Reporting Decisions Earnings quality of listed Chinese companies taking into consideration corporate governance issues including the split share structure reform, political connections and regulation-driven earnings management. Auditing Practice in China Audit requirements and compliance in China, case study of audit failures, factors affecting auditor independence and audit quality, and measures taken by the authorities and the profession in this regard.																																															
Teaching/ Learning Methodology	The three hours of lecture/seminar per week will be used flexibly by the lecturer for discussing the core principles and concepts of the subject syllabus and their applications with students and carrying out other learning activities with them. Students are expected to play an active role to interact with their lecturer and other classmates.																																															
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="5">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th></th><th></th></tr><tr><td>Participation</td><td>5%</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Individual Assignment</td><td>15%</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Mid-term Exam</td><td>30%</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Final examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100%</td><td colspan="5"></td></tr></table> Explanation of the appropriateness of the assessment methods in	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					a	b	c			Participation	5%	✓	✓	✓			Individual Assignment	15%	✓	✓	✓			Mid-term Exam	30%	✓	✓	✓			Final examination	50%	✓	✓	✓			Total	100%					
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	assessing the intended learning outcomes: Participation – Participation will be assessed on attendance, the level of active and critical engagement by students with course themes and content. Individual Assignment – An essay requiring students to reflect upon selected auditing issues in China. Mid-term Exam – Essay and computational questions on selected ASBEs and corporate governance of Chinese companies. Final Examination – A comprehensive examination in which students are required to analyze questions such as financial reporting, corporate governance and accounting reforms. Note: <i>The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>	
Student Study Effort Expected	Class contact:	
	13 weeks of three-hour seminar	39 Hrs.
	Other student study effort:	
	On average students are expected to spend around 6 hours per week for reading subject materials, doing discussion questions and assignments.	78 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Textbook: Patrick P. H. Ng, Ng Eng Juan and Chris Lau, <i>China Master GAAP Guide</i>, Latest Edition, Wolters Kluwer (HK). References: CICPA, <i>Textbook for PRC CPA Uniform Examination – Accounting</i>, latest edition, China Finance & Economy Media Group. 中國註冊會計師協會, 中國註冊會計師統一考試輔導教材《會計》, 最新版本, 中國財經出版傳媒集團. Other weekly reading materials will be recommended/ supplied for this course.	